

WMT: bull vs bear

Equity research from SEC filings. Every number below was verified against the company's filed XBRL data before it was accepted.

Model	gemini-2.5-flash
Retrieval chunker	fixed
Fiscal years	FY2026 vs FY2025
Run date	2026-09-23
Conversation id	d58b25abb9d54fb1
Runtime	137.315s
Tokens (in / out)	68,430 / 21,748
Bull claims	6 kept, 0 removed
Bear claims	5 kept, 0 removed

Bull case

1. Walmart's financial performance in fiscal 2026 included revenue increasing to \$713,163 million and net income rising to \$21,893 million, representing a year-over-year revenue growth of 4.73%. [F1] [F3] [C1]
2. The company improved its profitability and efficiency in fiscal 2026, with net income margin increasing to 3.07% from 2.85% in fiscal 2025, and return on equity improving to 22.97% from 21.43% in fiscal 2025. [C4] [C5] [C12] [C13]
3. Walmart's free cash flow increased to \$14,923 million in fiscal 2026 from \$12,660 million in fiscal 2025, and its financial leverage improved with the debt to equity ratio decreasing to 38.31% from 39.55% in fiscal 2025. [C6] [C7] [C10] [C11]
4. Walmart's growth strategy focuses on a seamless omnichannel experience, increasing membership (Sam's Club U.S., Walmart+), accelerating eCommerce sales, and expanding omnichannel initiatives, as well as growth in higher-margin businesses like digital advertising, marketplace, and financial services. [P1] [P2] [P4]
5. The Walmart U.S. segment's net sales increased to \$482,975 million from \$462,415 million, and its operating income rose to \$25,158 million from \$23,882 million in fiscal 2026, with its gross profit rate increase primarily driven by disciplined inventory management and higher-margin businesses. [P11] [P3]
6. A two-stage Discounted Cash Flow valuation, using fiscal 2026 free cash flow as the base, yields an equity value of \$37.33 per share. [C14]

Bear case

1. Walmart's operating income margin declined from 4.31% in fiscal 2025 to 4.18% in fiscal 2026, indicating a decrease in operational efficiency. [C3] [C2]
2. The company's liquidity position weakened, with the current ratio decreasing from 82.27% in fiscal 2025 to 78.98% in fiscal 2026. [C9] [C8]
3. Walmart International's operating income decreased to \$5,103 million in fiscal 2026 from \$5,501 million in fiscal 2025, primarily due to a \$0.7 billion charge related to PhonePe's share-based payment arrangements. [P11] [P13]
4. Walmart faces significant operational risks including increasing transportation costs, disruptions to critical infrastructure, inventory loss, and business interruptions, as well as various supplier-related issues such as political and economic instability and extreme weather events. [P6] [P8]
5. The company is vulnerable to economic factors that could lead to higher operating costs, such as increased labor and commodity prices, and its stock price is sensitive to the failure to meet market expectations for financial performance. [P7] [P9]

Critic log

Every numeric figure is checked in Python against the evidence it cites (value, scale and fiscal year); qualitative statements are checked against the cited 10-K passages. Failed claims go back to their author; claims still failing after the last revision are removed.

Side	Round	Passed	Failed
bull	0	2	4
bull	1	6	0
bear	0	5	0

Bull, round 0: rejected claims

- Walmart demonstrated robust financial growth in fiscal 2026, with revenue increasing to \$713,163 million and net income rising to \$21,893 million, representing a year-over-year revenue growth of 4.73%.
unsupported: The phrase "robust financial growth" is a subjective judgment and not a standard interpretation directly supported by the provided figures alone. The numerical values and the direction of change are supported.
- Walmart generated strong free cash flow of \$14,923 million in fiscal 2026, up from \$12,660 million in fiscal 2025, while also improving its financial leverage with the debt to equity ratio decreasing to 38.31% from 39.55% in fiscal 2025.
unsupported: The phrase "strong free cash flow" is a subjective judgment and not a standard interpretation directly supported by the provided figures alone. The increase in free cash flow and the improvement in financial leverage (decreasing debt to equity ratio) are supported.
- Walmart's growth strategy focuses on a seamless omnichannel experience, increasing membership, accelerating eCommerce sales, and expanding into higher-margin businesses like digital advertising, marketplace, and financial services, which are key drivers for future performance.
unsupported: The claim that Walmart's growth strategy focuses on omnichannel experience, membership, eCommerce, and higher-margin businesses is supported by passages P1, P2, and P4. However, the assertion that these are "key drivers for future performance" is a prediction about the future, which is unsupported by the provided passages.
- The Walmart U.S. segment showed strong performance in fiscal 2026, with net sales increasing to \$482,975 million and operating income rising to \$25,158 million, driven by disciplined inventory management and higher-margin businesses.
unsupported: The phrase "strong performance" is a subjective judgment. While the net sales and operating income figures for Walmart U.S. are correctly stated and show an increase (supported by P11), the claim that

these increases were "driven by disciplined inventory management and higher-margin businesses" is partially unsupported. Passage P3 links these factors to the increase in the gross profit rate for the Walmart U.S. segment, which contributes to operating income, but does not state they drove the net sales increase.

Sources

F = XBRL fact as filed, C = deterministic calculation (inputs listed), P = retrieved 10-K passage.

ID	Evidence	Source
F1	revenue FY2026: \$713,163 million	Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31
F3	net_income FY2026: \$21,893 million	NetIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31
C1	revenue_yoy_growth FY2026: 4.73%	(revenue FY2026 - FY2025) / FY2025 ; inputs: Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
C4	net_income_margin FY2026: 3.07%	net_income / revenue (FY2026); inputs: NetIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31
C5	net_income_margin FY2025: 2.85%	net_income / revenue (FY2025); inputs: NetIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
C12	return_on_equity FY2026: 22.97%	net_income FY2026 / avg(shareholders_equity FY2025, FY2026); inputs: NetIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; StockholdersEquity [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; StockholdersEquity [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
C13	return_on_equity FY2025: 21.43%	net_income FY2025 / avg(shareholders_equity FY2024, FY2025); inputs: NetIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; StockholdersEquity [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; StockholdersEquityIncludingPortionAttributableToNoncontrollingInterest [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2024-01-31
C6	free_cash_flow FY2026: \$14,923 million	operating_cash_flow - capex (FY2026); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31
C7	free_cash_flow FY2025: \$12,660 million	operating_cash_flow - capex (FY2025); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
C10	debt_to_equity FY2026: 38.31%	long_term_debt / shareholders_equity (FY2026); inputs: LongTermDebt [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; StockholdersEquity [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31

ID	Evidence	Source
C11	debt_to_equity FY2025: 39.55%	long_term_debt / shareholders_equity (FY2025); inputs: LongTermDebt [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; StockholdersEquity [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
P1	Front passage by everyday low costs. At times, we adjust our business strategies to maintain and strengthen our competitive positions in the countries in which we operate. We define our financial priorities as follows: - Growth - serve customers through a seamless omnichannel experience; - Margin - improve our operating income margin through productivity initiatives as well as category and business mix; and - R...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0084
P2	Front passage and health and wellness. Additionally, fiscal 2026 and 2025 growth was partially offset by lower fuel sales, negatively impacting comparable sales by 1.9% and 1.5%, respectively, primarily due to lower fuel prices. Sam's Club U.S. eCommerce sales positively contributed approximately 3.3% and 2.3% to comparable sales for fiscal 2026 and 2025, respectively, which reflects continued strength in membe...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0086
P4	Front passage trust that our prices will not change under frequent promotional activity; - EDLC: everyday low cost is our commitment to control expenses so our cost savings can be passed along to our customers; - Omnichannel offerings such as pickup and delivery, all of which enhance convenience and seek to serve customers in the ways they want to be served; - Expanding our ecosystem and the products and servic...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0017
P11	Front passage reportable segment, including the mix of cost of sales and operating, selling, general and administrative expenses, are not directly comparable due to differences in business model, format and channel mix. Additionally, the operating results of each reportable segment may not be comparable to those of other retailers, as discussed in Note 1 . 76 The Company measures the profit or loss of its segme...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0169
P3	Front passage for fiscal 2026 and 2025, respectively, when compared to the previous fiscal year. These increases in revenues were primarily due to increases in net sales, which increased \$31.9 billion or 4.7% and \$31.9 billion or 5.0% for fiscal 2026 and 2025, respectively, when compared to the previous fiscal year. The increases were primarily due to strong positive comparable sales across our U.S. segments an...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0093

ID	Evidence	Source
C14	dcf_value_per_share FY2026: \$37.33 per share	(PV of 5y FCF at g=0.04 + PV terminal at g=0.025, r=0.075) + cash - debt, / diluted_shares (base FY2026); inputs: NetCashProvidedByUsedInOperatingActivities [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; PaymentsToAcquirePropertyPlantAndEquipment [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; CashAndCashEquivalentsAtCarryingValue [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; LongTermDebt [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; WeightedAverageNumberOfDilutedSharesOutstanding [shares] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31
C3	operating_income_margin FY2025: 4.31%	operating_income / revenue (FY2025); inputs: OperatingIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
C2	operating_income_margin FY2026: 4.18%	operating_income / revenue (FY2026); inputs: OperatingIncomeLoss [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; Revenues [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31
C9	current_ratio FY2025: 82.27%	current_assets / current_liabilities (FY2025); inputs: AssetsCurrent [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31; LiabilitiesCurrent [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2025-01-31
C8	current_ratio FY2026: 78.98%	current_assets / current_liabilities (FY2026); inputs: AssetsCurrent [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31; LiabilitiesCurrent [USD] 10-K accn 0000104169-26-000055 filed 2026-03-13, period ending 2026-01-31
P13	Front passage fiscal 2026 and 2025, respectively. Gross profit rate decreased 49 basis points for fiscal 2026 and increased 20 basis points for fiscal 2025, when compared to the previous fiscal year. For fiscal 2026, the decrease was primarily due to ongoing channel and format mix shifts, as well as strategic growth investments in price and delivery capabilities, partially offset by growth in higher margin busi...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0098
P6	Front passage procuring products; increasing transportation costs (whether due to fuel prices, fuel supply or otherwise); disrupting critical infrastructure systems, banking systems, utility services or energy availability to our stores, clubs and our facilities; and disrupting communications with our stores, clubs and our other facilities. We bear the majority of the costs associated with adaptation and the ri...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0036
P8	Front passage operations and financial performance. These risks include political and economic instability, as well as other impactful events and circumstances in the countries and regions in which our suppliers are located, goods are manufactured and located, and through which goods are transported; the financial instability of suppliers; suppliers not having the financial ability or capacity to fulfill their ...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0037

ID	Evidence	Source
P7	Front passage reveal all potentially relevant information, including accurate worker authorization information and criminal history. If these independent contractors engage in misconduct, consumers may not consider our goods and services safe, and we may receive negative press coverage. Further, we have in the past incurred, and may in the future incur, losses from various types of fraud with respect to unautho...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0054
P9	Front passage in the U.S. or such other markets, change the mix of products we sell to any one or more markets with a lower average gross margin, cause a slowdown in discretionary purchases of goods, adversely affect our net sales, growth rates, operating income and result in slower inventory turnover and greater markdowns of inventory, or otherwise materially adversely affect our operations and operating resul...	WMT 10-K accn 0000104169-26-000055 (period 2026-01-31), Front, fixed-0033